US-Canada trade stuck in trench warfare

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Treasury's cash balance caps how far Bessent can scale up buybacks

US-Canada trade relations are stuck in trench warfare. The US announced import bans on a number of Canadian products in response to Canada’s imposition of “dollar for dollar” tariffs on US goods yesterday, as part of the ongoing trade war between the two countries.

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This looks more like a calibrated tit-for-tat response from the US, rather than an escalation that would prompt an additional Canadian response. Most of the products subject to the import bans were already subject to new tariffs under Section 338 trade authority, and the import bans of the largest scope—on most alcoholic products and motorcycles—are direct responses to Canadian moves against US exports of those products. Canadian Prime Minister Mark Carney’s response to the import bans, which will take effect on 29 September, was muted, supporting that this will not trigger an additional round of escalation.
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US-Canada trade relations look to be in a state of trench warfare, with both sides firmly dug into their respective positions and no breakthrough in the offing. The US believes it is inflicting more economic harm on Ottawa than on itself, which will force Ottawa to climb down; Ottawa, meanwhile, is prepared to bear economic pain while it reorients its trade relations away from the US and invests in its own economy, especially infrastructure and natural resource development.
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The next signpost that merits watching is whether—and if so, in what form—the US moves ahead with a threatened ban on US government procurement of Canadian goods and services; depending on how it is implemented, that would be a more escalatory move that could provoke an additional Canadian

response, though a significant expansion of US tariffs is unlikely.

The midterm convention is a double-edged sword for Republicans. Republicans are gathering in Dallas tomorrow for a “midterm convention” aimed to boost the party in the final stretch before the midterm elections, but it’s unlikely to pay off in the manner national Republicans hope.

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The central problem of a midterm convention has always been that it cuts both ways. Republicans have historically performed better when Trump is on the ballot, so boosting the midterm profile of the president himself might generate higher turnout among casual, Trump-leaning voters who don’t normally show up at midterms.

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On the other hand, though, Trump is personally unpopular, with an approval rating hovering just above 38%, and a high-profile convention that places the president firmly at the center of the Republican Party could drag down moderate Republicans in swing House districts or Senate seats. Figures like Senator Susan Collins (R-ME), facing a tough re-election battle, are already trying to distance themselves from the White House; making the unpopular Trump the face of the party’s midterm efforts will make that task more difficult.

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On net, the midterm convention is unlikely to pay off for Republicans, with those two countervailing forces offsetting each other. Additionally, Republicans are competing for scarce space in voters’ limited attention spans, and with the convention happening alongside the kickoff of the NFL season, this is likely to a media event with no lasting impact on the midterm race.

The AI jobs backlash has arrived before broad job losses. Generative AI has not displaced American workers in aggregate, and significant workforce displacement is unlikely before 2028. However, hiring and separations are both subdued as stricter immigration policies reduce the flow of new workers, which may be masking what AI is doing to hiring flows.

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Much of the job loss attributed to AI is corporate storytelling. AI lets firms convert layoffs into an innovation story, which investors rewarded for a time.

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Productivity gains from AI are also uneven so far. AI typically boosts speed or quality for initial work, rather than final output, creating bottlenecks as AI-created or assisted work is subjected to human review. As long as humans must direct, integrate, and check AI output, gains per worker can arrive without large layoffs.

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Mid-tier roles—first-pass analysis, financial models, and document review—derive their value from supervised execution, and become vulnerable if AI can complete whole workflows with little expert review. Over two to five years, firms could adjust to this, eventually thinning the pipeline to senior roles.

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Pessimism among Americans is therefore running ahead of the evidence, exacerbated by the fact that Americans have less confidence a safety net will protect them from job losses. And even if AI continues to have a limited labor market effect, negative public views will drive political scrutiny.

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For more, please see The AI jobs backlash is arriving before broad job losses , 8 September 2026.

Treasury's cash balance caps how far Bessent can scale up buybacks. Treasury will announce at 11 am ET today the maximum size of tomorrow's buyback of 10- to 20-year bonds, two hours before today's 10-year auction and ahead of tomorrow's 30-year auction. Investors will read the number as a template for the other six long-end operations left this quarter, even though Treasury sizes each one separately.

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Larger buybacks alone are unlikely to durably lower long-term yields. The cash account is no larger as a share of GDP than it was under the previous administration, and replacing long-bond issuance with bills would shorten the average maturity of US debt, increasing debt service costs' sensitivity to interest rate swings, a bet investors are unlikely to reward (see Overview of US Treasury's toolkit to try to lower yields, 8 September 2026).

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Treasury Secretary Scott Bessent announced doubling the maximum long-end operation to at least $4 billion from $2 billion on 19 August, and the market will likely treat anything below $5-6 billion as underwhelming. Estimates of the practical ceiling for the remaining seven operations are near $10 billion per operation, given a Treasury General Account of $889 billion and a cash policy of holding one week of outflows and a $150 billion minimum, absent additional bill issuance or a change in that policy.

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$10 billion per operation would cut quarterly net issuance of bonds maturing in 20 years or more, currently at $107 billion for the quarter, by roughly half. Treasury publishes its next quarterly refunding statement on 4 November, the day after the midterm elections, and will set buyback sizes for the following quarter at that time.

Quote of the Day

"In their districts, he can touch voters and reach out to voters that members and candidates would have a harder time reaching. We've seen that a lot of Trump voters – they will crawl over glass to vote for the president." – Mark Bednar, a senior GOP strategist, quoted by Politico. GOP strategists and fundraisers are wagering that President Trump's personal appeal to difficult-to-reach voters will lift down-ballot Republicans to victory at the midterms. However, we assess that Trump's deeply unpopular approval ratings on the issues will offset this "crawl over glass" effect in the aggregate.

One the Radar

10 August – 14 September: Senate on recess

9-10 September: GOP midterms convention

18-28 September: High-Level Week at UN General Assembly

24 September: Trump-Xi summit

3 November: National midterm elections

11 December: Government funding runs out

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